

sued to testing the value hypothesis that was discussed in [Chapter 5](#).)

After our meeting, one of the two startups took me up on my advice to model its customer behavior by using the sticky engine of growth as a template. The results were striking: a 61 percent retention rate and a 39 percent growth rate of new customers. In other words, its churn rate and new customer acquisition balanced each other almost perfectly, leading to a compounding growth rate of just 0.02 percent—almost zero.

This is typical for companies in an engagement business that are struggling to find growth. An insider who worked at the dot-com-era company PointCast once showed me how that company suffered a similar dysfunction. When PointCast was struggling to grow, it was nonetheless incredibly successful in new customer acquisition—just like this sticky startup (39 percent every period). Unfortunately, this growth is being offset by an equivalent amount of churn. Once it is modeled this way, the good news should be apparent: there are plenty of new customers coming in the door. The way to find growth is to focus on existing customers for the product even more engaging to them. For example, the company could focus on getting more and better listings. This would create an incentive for customers to check back often. Alternatively, the company could do something more direct such as messaging them about limited-time sales or special offers. Either way, its focus needs to be on improving customer retention. This goes against the standard intuition in that if a company lacks growth, it should invest more in sales and marketing. This counterintuitive result is hard to infer from standard vanity metrics.

## The Viral Engine of Growth

Online social networks and Tupperware are examples of products for which customers do the lion's share of the marketing. Awareness of the product spreads rapidly from person to person similarly to the way a virus becomes an epidemic. This is distinct from the